

Comparative Analysis of Startup Policies

Across Selected Indian States

*A Comparative Study of Gujarat, Karnataka,
Tamil Nadu and Telangana*

Independent Research Report

Prepared by

Mehak Rai

B.Tech (Artificial Intelligence & Machine Learning)

United University, Prayagraj

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Abstract

This report presents a comparative analysis of startup policies implemented by the states of Gujarat, Karnataka, Tamil Nadu, and Telangana. The study evaluates the policy frameworks using common evaluation criteria including financial assistance, investment support, incubation infrastructure, intellectual property support, inclusive entrepreneurship initiatives, market access, and additional startup incentives. The objective is to identify similarities, differences, and distinctive policy approaches adopted by each state to strengthen its startup ecosystem. The findings indicate that while all four states share the common objective of promoting innovation-driven entrepreneurship, they differ in implementation strategies based on their regional priorities and economic vision. The report provides a concise overview of state-level startup support mechanisms and may serve as a reference for entrepreneurs, researchers, policymakers, and ecosystem stakeholders interested in understanding India's evolving startup landscape.

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1. Introduction

Startup ecosystems have emerged as an important driver of innovation, employment generation, technological advancement, and regional economic development. Recognizing the significant contribution of startups towards economic growth, several Indian states have introduced dedicated startup policies that provide financial assistance, incubation support, market access, mentorship, and institutional facilitation for entrepreneurs.

Although these policies pursue similar objectives, they differ considerably in their implementation strategies, priority sectors, and support mechanisms. Understanding these differences provides valuable insights into how individual states are strengthening their entrepreneurial ecosystems while addressing their unique developmental priorities.

This report presents a comparative analysis of the startup policies of Gujarat, Karnataka, Tamil Nadu, and Telangana based on official policy documents and government publications. Rather than evaluating policy outcomes, the report focuses on comparing the policy provisions, incentives, and strategic approaches adopted by the selected states.

2. Objectives of the Study

- To comparatively analyse the startup policies of Gujarat, Karnataka, Tamil Nadu, and Telangana.
- To examine the financial and non-financial incentives provided by each state.
- To identify common and unique policy measures supporting entrepreneurship.
- To compare initiatives promoting innovation, incubation, market access, and inclusive entrepreneurship.
- To provide a concise reference for understanding state-level startup ecosystem development.

3. Scope of the Study

The report focuses on the official startup policies and supporting government publications of four Indian states: Gujarat, Karnataka, Tamil Nadu, and Telangana. The analysis is limited to policy provisions related to startup promotion, financial assistance, incubation support, intellectual property facilitation, entrepreneurship development, and additional ecosystem incentives. The study does not evaluate policy implementation outcomes, beneficiary experiences, or startup performance after policy adoption.

4. Research Methodology

The study adopts a qualitative comparative research approach based entirely on secondary data.

Information was collected from official startup policy documents, government startup portals, and supporting publications issued by the respective state governments. The collected information was organised into a common evaluation framework to enable systematic comparison across all four states. The analysis focuses on identifying similarities, distinctive features, and policy priorities rather than measuring implementation outcomes.

5. Sources of Data

The study is based exclusively on secondary sources including:

- Official Startup Policy documents of Gujarat, Karnataka, Tamil Nadu, and Telangana
- Startup India Portal
- Official state startup portals
- Government notifications and policy publications
- Supporting government ecosystem documents

6. Evaluation Framework

The startup policies were compared using the following evaluation criteria:

- Financial Assistance & Investment Support
- Innovation, Intellectual Property & Incubation Support
- Inclusive Entrepreneurship Support
- Market Access & Operational Support
- Additional Startup Incentives

7. Report Structure

The report is organised into the following chapters:

- Introduction
- Objectives
- Scope
- Research Methodology
- Sources of Data
- Evaluation Framework
- Comparative Analysis
- Key Findings
- Conclusion
- References

8. Comparative Analysis

This section presents a comparative analysis of startup policies in selected states of India, namely Gujarat , Karnataka , Tamil Nadu and Telangana using a common set of evaluation criteria. This section compares financial assistance and investment support , student - innovation support , incubation support , assistance to women entrepreneurs and other startup incentives across each selected state . The objective is to highlight the strengths , limitations , and unique approaches adopted by each state to strengthen its startup ecosystem .

Table 8.1: Comparative overview of startup policy incentives across selected Indian states

Evaluation Criterion	Gujarat	Karnataka	Tamil Nadu	Telangana
Seed Funding	Startup Srujan Seed Fund (S4)	• ELEVATE (Idea2PoC) • Funds of Funds	Equity - based funds / grants	• T-Spark • T-Seed Fund
Grants	• Higher education : upto Rs 2.5 lakhs • School innovation: upto Rs 20,000	• ELEVATE Unnati • R&D Project Grant	• Entrepreneurship grant program -mes(START STEPS)	• 5% grant on turnover (15% YoY growth) • Impact Fund
Capital Subsidies	GMF for infrastructure	• 50% capital grant for private incubators setup • Facility expansion grant	Satellite offices , hubs for regional growth	20% investment subsidy to incubator projects
Finance and Investment Support	-----	Startup-investment facilitation	Startup-investment facilitation	Incentive category for IT , Electronic companies

Patent/IP Support	Indian : Rs 75,000 Foreign:1.5 lakhs	Upto 15 lakh per year	-----	Indian: upto Rs 2 lakhs Foreign :upto Rs 10 lakhs
Incubation Support	• i-Hub • Incubators at all state universities	• INNOVE-RSE • Digital Clinics • Virtual Incubation Platform	Utilisation of regional hubs , satellite offices	• T-Hub • Workspace of 1 million sq.ft.
Women Entrepreneurship	• WEstart • Targeted promotions of innovation	• WEscalate dual program • Upto 30 lakh grant/cohort	Aim to make women - led startup ecosystem .	• WE HUB • Upto 15 Cr VC fund • 1/4th procurement quota from women enterprises
Student Entrepreneurship	Support from class 9 onwards	• NAIN 2.0: upto 5 lakhs per project • Rajiv Gandhi Entrepreneurial Program	START STEPS program for budding entrepreneurs	Gap year , 5% grace marks , 20% attendance
Marketing Support	Start-up Mart	Global Karnataka: 40% reimbursement	Global Liaison Offices	30% reimbursement
Other Incentives	SIF via direct Beneficiary Transfer	• 50% net SGST reimbursement • PF/ESI reimbursement	Early-year startup support services	• 100% SGST reimbursement • 25% internet subsidy

Source: Compiled by the author from official startup policy documents and startup portals of the government of Gujarat , Karnataka , Tamil Nadu , Telangana

8.1 Financial Assistance & Investment Support

Analysis : All four states provide financial assistance to support startup growth, however, they differ in their implementation approaches. Gujarat emphasizes dedicated funding for student-led innovation through schemes such as **Startup Srujan Seed Fund (S4)**, while Karnataka offers a diversified funding ecosystem through multiple initiatives, including **ELEVATE** and **Funds of Funds**. Tamil Nadu primarily provides equity-based financial support, whereas Telangana focuses on dedicated startup funding schemes such as **T-Spark** and **T-Seed Fund**. These differences reflect each state's distinct strategy for promoting entrepreneurship while pursuing the common objective of strengthening the startup ecosystem.

8.2 Innovation, Intellectual Property & Incubation Support

Analysis: All four states recognize the challenges faced by early stage entrepreneurs and emphasize the importance of fostering innovation through Intellectual Property and incubation support , however possessing slight differences respectively . Gujarat , Karnataka and Telangana provide dedicated patent support through financial assistance and reimbursement schemes , whereas Tamil Nadu has no such specific incentive described as per its official policy document .

Additionally , all states provide incubation and workspace facilities through strategic initiatives and dedicated programmes . While the mechanisms adopted by each state vary, they collectively aim to create an enabling ecosystem that nurtures innovation, supports startup development, and assists entrepreneurs during the early stages of their journey.

8.3 Inclusive Entrepreneurship Support

Analysis: All four states recognize the importance of inclusive entrepreneurship and through dedicated programmes, targeted initiatives, financial incentives, and institutional support , aim to promote entrepreneurial participation from diverse sections of society. However , the nature of this support varies across the selected states.

Women entrepreneurship is emphasized through various dedicated programmes and initiatives namely , **WE HUB** , **India's first state-led incubator** exclusive to women entrepreneurs initiated by the state of Telangana , **WEscalate , a dual accelerator and incubation program** led by state of Karnataka , **WEstart , a flagship program** introduced by the state of Gujarat , however Tamil Nadu does not mention an equivalent flagship program in its startup policy , though it shares similar commitment to promoting women entrepreneurship through broader policy initiatives. Additionally, each of the states provide

dedicated programmes , specific funding and institutional support to marginalized and rural communities.

Student entrepreneurship is encouraged by all four states through specialized programmes , institutional support and innovation - driven strategies . Overall , the comparison indicates that the selected states recognize inclusive entrepreneurship as a key component in the development of a robust startup ecosystem that encourages innovation from diverse backgrounds .

8.4 Market Access, Operational Support & Additional Incentives

Analysis: All four states recognize that startup success extends beyond financial assistance and therefore provide additional incentives to improve market access, reduce operational costs, and strengthen business competitiveness. Common initiatives include public procurement support, which enables startups to participate in government procurement by relaxing eligibility criteria, and international market access assistance through financial support for participation in trade fairs, exhibitions, and global networking events.

However, each state adopts distinct strategies to achieve these objectives. Karnataka emphasizes operational sustainability through recurring reimbursements, regulatory sandbox support, and dedicated incentives for DeepTech startups. Telangana focuses on operational assistance and direct government procurement while providing performance-linked grants to encourage startup growth. Gujarat strengthens market accessibility through **Start-up Mart**, early-stage innovation support, and funding for institutional incubation infrastructure. Tamil Nadu adopts a long-term ecosystem development approach by promoting corporate procurement platforms, international liaison offices, and entrepreneurship support for aspiring founders even before formal startup registration. Overall, the comparison indicates that while all four states pursue the common objective of improving startup competitiveness and market access, their policy approaches reflect different economic priorities and ecosystem development strategies.

9. Key Findings

9.1 Common Findings

- All four states recognize startups as key drivers of innovation, employment generation, and economic development.
- Financial assistance, incubation support, market access, and entrepreneurship promotion are common pillars across the selected startup policies.
- Public procurement support and international market access initiatives demonstrate a shared emphasis on helping startups commercialize their innovations.
- Each state actively promotes student and women entrepreneurship through dedicated programmes, institutional support, and targeted incentives.
- Startup ecosystem development extends beyond financial assistance to include mentorship, networking, incubation infrastructure, and policy facilitation.

9.2 Key Policy Differentiators Across States

Gujarat

- Strong emphasis on student-led innovation beginning at the school level.
- Centralized implementation through i-Hub.
- Significant focus on strengthening university innovation ecosystems.

Karnataka

- Comprehensive financial assistance and diversified funding ecosystem.
- Strong policy support for DeepTech startups.
- Extensive Global Innovation Alliances promoting international collaboration.

Telangana

- Startup-friendly procurement framework positioning the government as an early customer.
- Dedicated ecosystem institutions such as T-Hub, WE-Hub, and T-Works.
- Strong operational support and inclusive innovation initiatives.

Tamil Nadu

- Focus on equitable and inclusive startup ecosystem development.
- Support for entrepreneurs even before formal startup registration.
- Integration of sustainability through Triple Bottom Line principles.

9.3 Comparative Insight

The comparative analysis demonstrates that although Gujarat, Karnataka, Telangana, and Tamil Nadu pursue the common objective of strengthening startup ecosystems, they adopt distinct policy approaches based on their regional priorities and strategic vision. Karnataka prioritizes DeepTech and global competitiveness, Telangana emphasizes ecosystem integration and government-led market access, Gujarat focuses on nurturing innovation from the education system, while Tamil Nadu promotes inclusive and sustainable entrepreneurship. These differences highlight the evolving nature of India's state-level startup policies and their contribution to building a diverse and innovation-driven entrepreneurial ecosystem.

9.4 Limitations of the Study

This report is based primarily on official startup policy documents and government publications. Consequently, the analysis focuses on the intended policy framework and incentives rather than the real-world effectiveness, implementation challenges, or long-term impact of these initiatives. Future studies may incorporate startup surveys, beneficiary feedback, and policy evaluation reports to assess implementation outcomes.

10. Conclusion

This report comparatively examined the startup policies of Gujarat , Karnataka , Tamil Nadu and Telangana with the objective of understanding the overall commitment of each state to strengthening their startup ecosystems through fiscal and non-fiscal support mechanisms . Through a structured framework of evaluation , the report identified common and unique approaches of each state .

All four states demonstrate a strong commitment to supporting early-stage entrepreneurship through financial assistance, incubation support, mentorship, commercialization initiatives, and other fiscal incentives. However, their implementation strategies differ, resulting in each state developing distinctive strengths that reflect its regional priorities and long-term vision.

Although each state has adopted a distinct approach to their commitments based on their economic priorities and regional strengths, they collectively demonstrate India's growing commitment to fostering innovation-driven entrepreneurship. The diversity of these policy approaches highlights that there is no single model for startup ecosystem development; instead, each state contributes unique strengths that together strengthen the national innovation landscape. The findings of this report may assist entrepreneurs, policymakers, researchers, and ecosystem stakeholders in understanding and evaluating state-level startup support mechanisms

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Additional Sources Consulted

- Official government notifications, policy documents, implementation guidelines, startup ecosystem publications, and institutional reports published by the respective state governments were consulted wherever applicable to supplement the policy analysis.

Note: This report has been compiled using official startup policy documents, government notifications, institutional reports, and official startup ecosystem portals available at the time of writing. Every effort has been made to ensure the accuracy of the information presented.